



Morgan Stanley Global Macro Forum

Markets On the Move: Signal or Noise?

July 27, 2026

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Will the Warsh Fed Ignore the Lessons of the Greenspan Fed?

In 1994, the market priced at least a 70% probability on the first three 25bp hikes in that cycle by the day before the hike

FOMC meetings during the 1994 hiking cycle, actual outcomes vs. market-implied probabilities for those outcomes

Actual Outcome	25bp Hike	25bp Hike	25bp Hike	50bp Hike	No Hike	50bp Hike	No Hike	75bp Hike	No Hike
MEETING DATE	FEB-94	MAR-94	APR-94	MAY-94	JUL-94	AUG-94	SEP-94	NOV-94	DEC-94
1d before	70%	75%	84%	53%	13%	28%	6%	60%	0%
1w before	22%	86%	94%	81%	21%	26%	49%	20%	0%
2w before	22%	76%	77%	46%	40%	4%	56%	0%	0%
3w before	27%	92%	67%	24%	38%	52%	67%	28%	15%
4w before	44%	88%	58%	0%	36%	36%	58%	0%	0%
5w before	53%	60%	55%	0%	0%	73%	47%	23%	28%
6w before	61%	60%	48%	0%	6%	82%	54%	65%	30%
7w before	48%	7%	37%	0%	0%	75%	48%	31%	44%
8w before	53%	7%	20%	0%	0%	47%	76%	17%	51%

Market-Implied Path Too Hawkish vs. Our Economists' View

Current market pricing implies tightening vs the easing in the probability-weighted path envisioned by our economists

US Financial Conditions Impulse on Growth (FCI-G*): 1- and 3-year look-backs



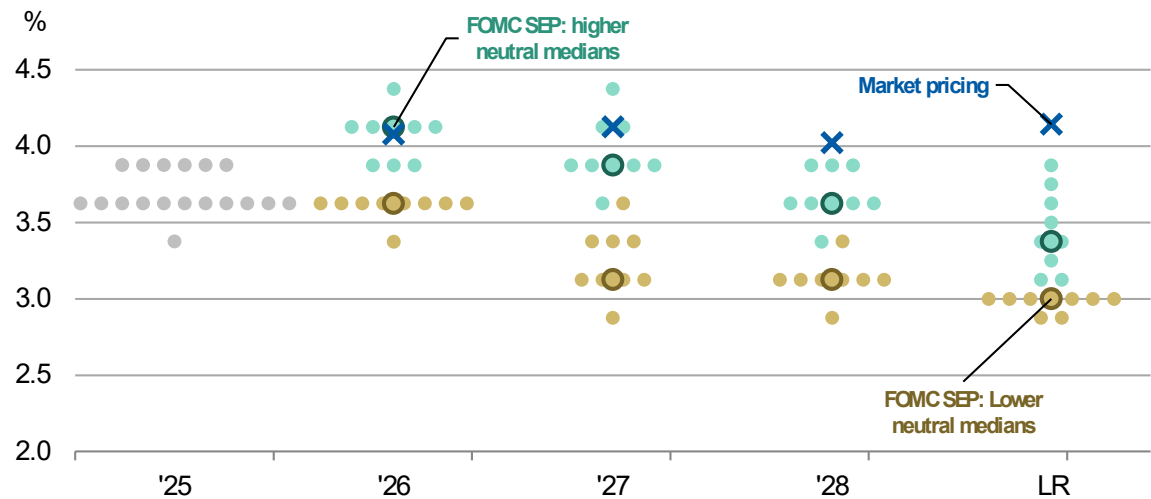
Source: Morgan Stanley Research, Federal Reserve, Bloomberg

* We reversed the signs on the FCI-G from the original conception to make the values more easily understood as a boost (+)/drag (-) on growth. A zero value means that the cumulative effect on growth of current and past changes in all financial variables sums up to zero, while a reading of 1 percent above (below) the zero line means that financial conditions are a notable tailwind (headwind) to economic activity that is equivalent to a 100bp boost (drag) on GDP growth over the following year.

Market Pricing Looks Very Out-of-Line With the June 2026 Dot-Plot

The June dot-plot retains relevance as a result of the interim weaker nonfarm payroll report and a lower CPI inflation report than expected

(1) FOMC participants' assessments of appropriate monetary policy: midpoint of target range or target level for the federal funds rate: June 2026, (2) medians of those with a higher long run neutral dot vs. those with a lower long run neutral dot, and (3) market pricing



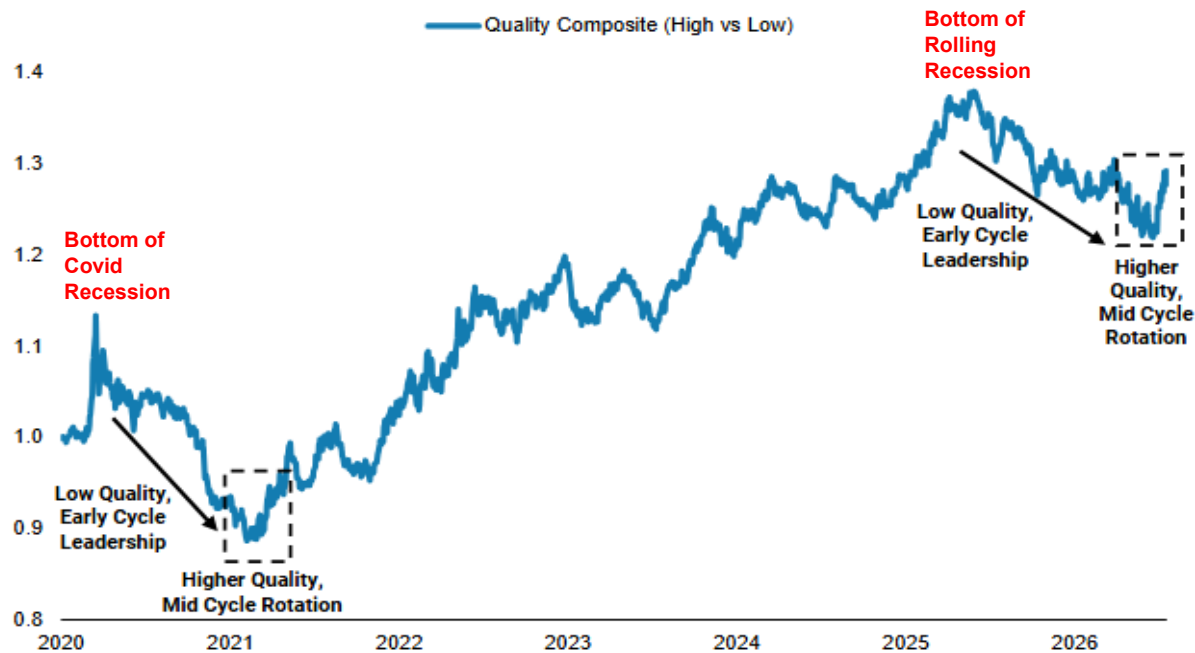
Source: Morgan Stanley Research, Federal Reserve, Bloomberg

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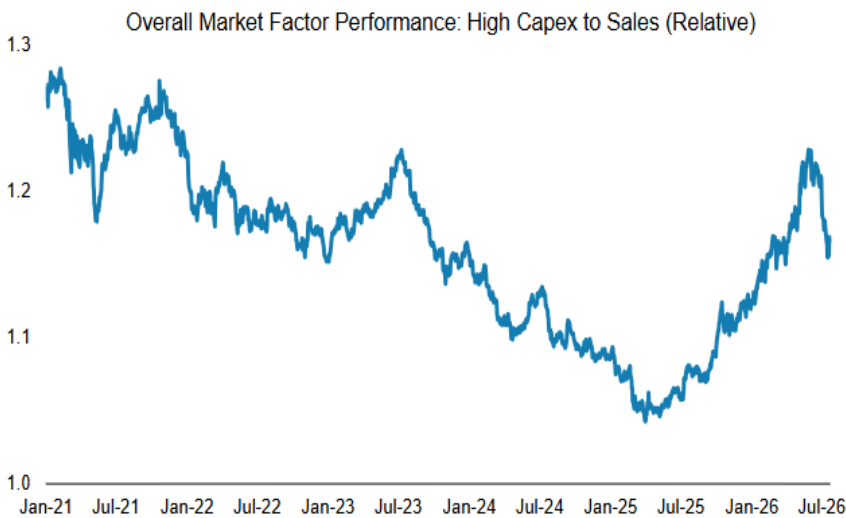
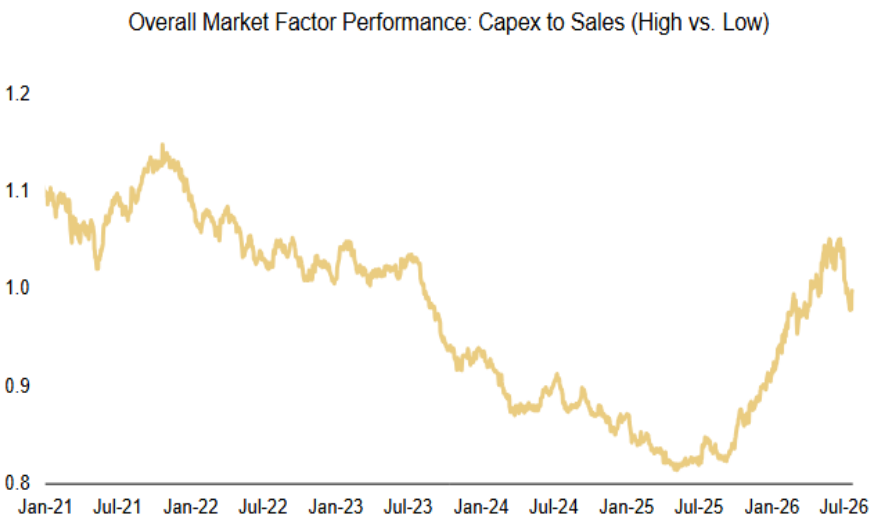
Michael Wilson

Chief Investment Officer and Chief US Equity Strategist

The Broadening-Out Story Is Evolving Into a “Quality” Rotation as the Recovery From the Rolling Recession Moves Into the Mid Cycle Phase, Like 2021

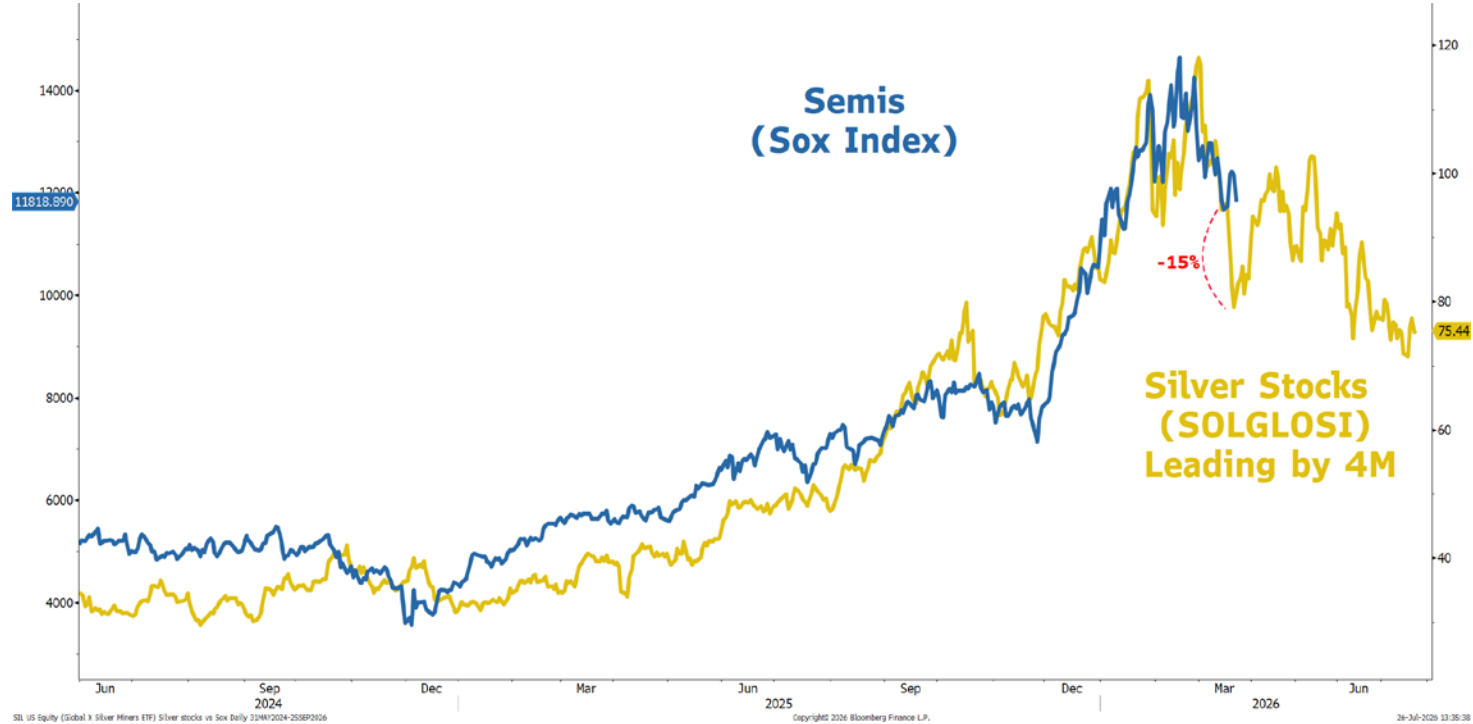


The Sharp Reversal in the Capex/Sales Factor Is Supportive of a Quality Rotation

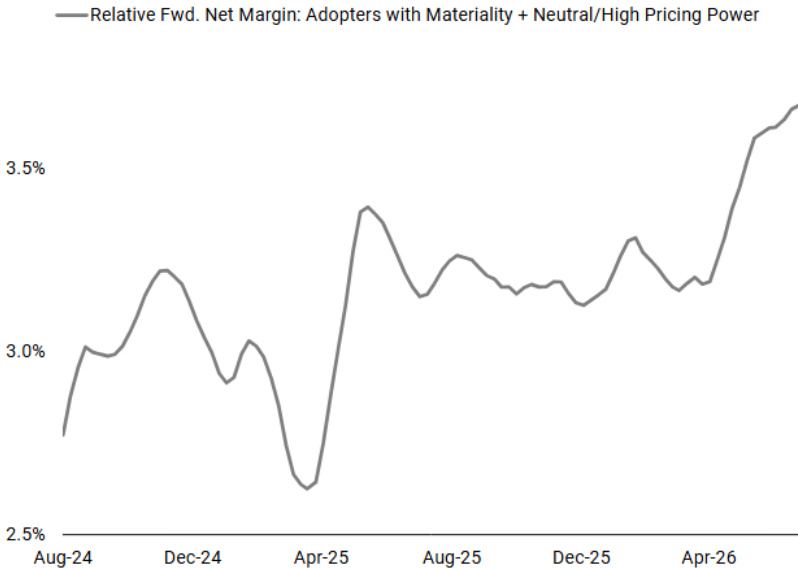
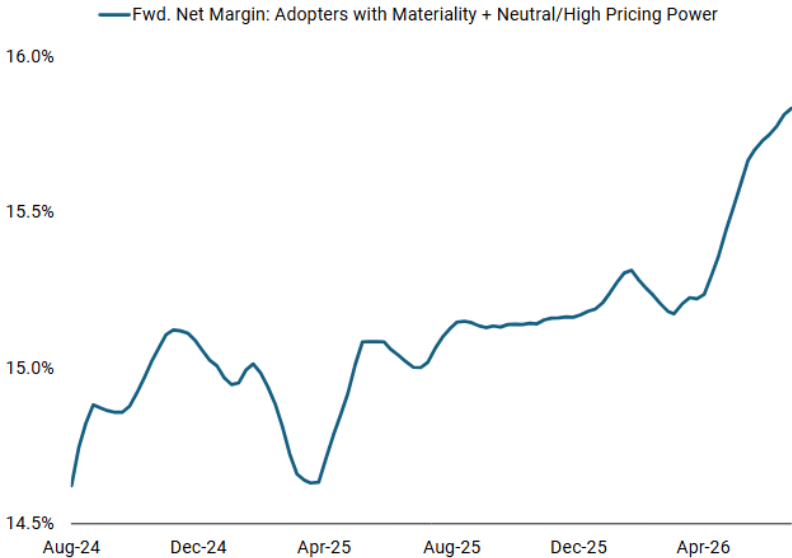


Source: Compustat, Morgan Stanley Research

It Also Explains *Why* Leadership in Semis (Early Cycle Sector) Is Unlikely to Return

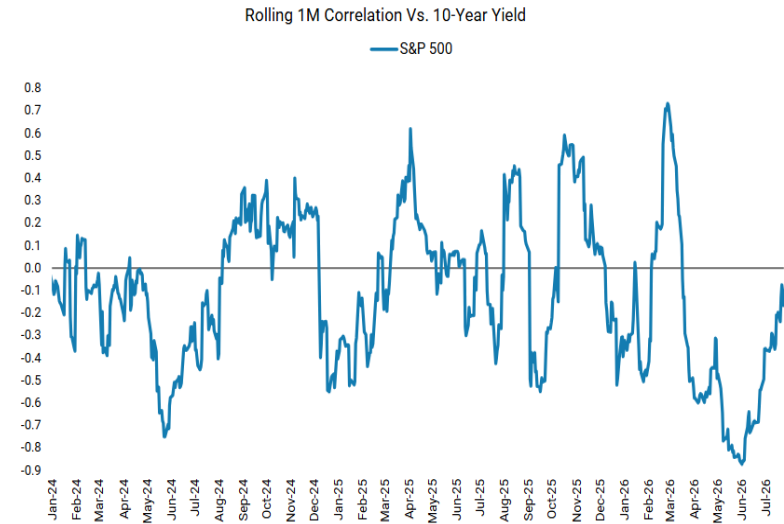
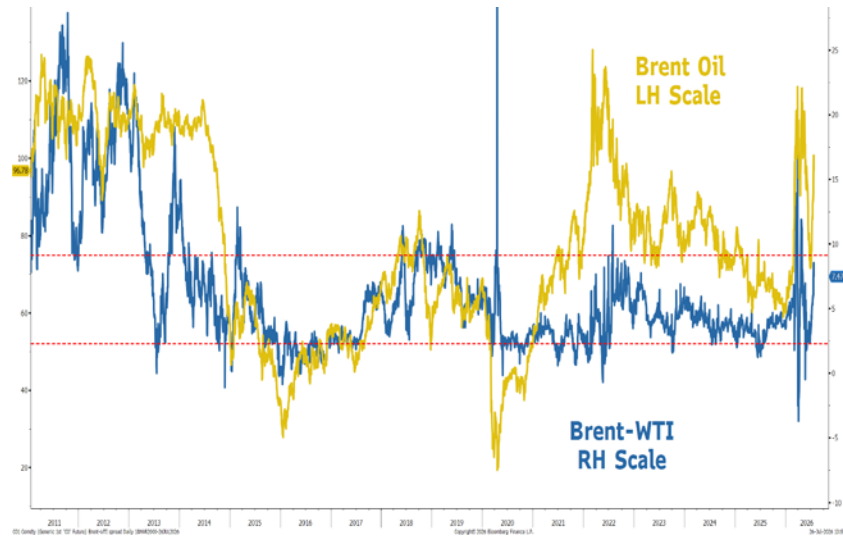


Hyperscalers Might Still Outperform Semis, But We Like Adopters Over Both



Source: Morgan Stanley Research; Note: Based on our Thematic team's [mapping work](#). Significant or Core to Thesis Materiality. Neutral or High Pricing. Based on median stock. Smoothed 6-wks.

Near Term Risk for Index is Oil and Rates—Strong Support at 7000 for S&P 500



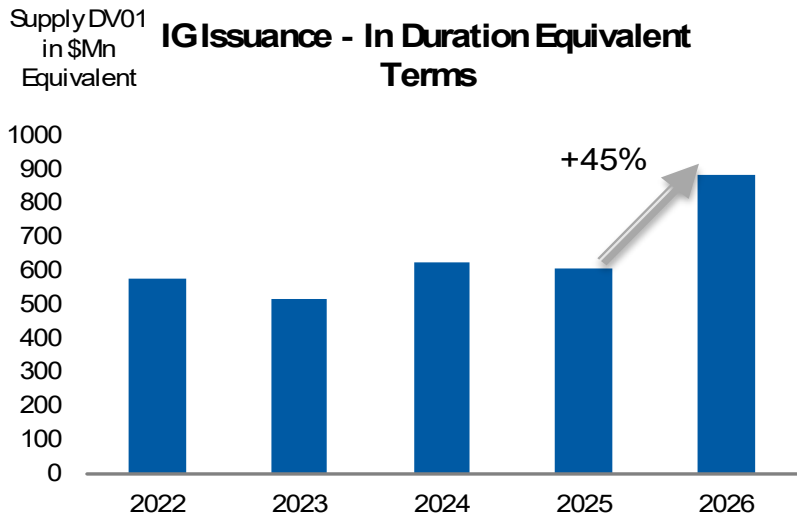
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Vishwas Patkar
Head of US Credit Strategy

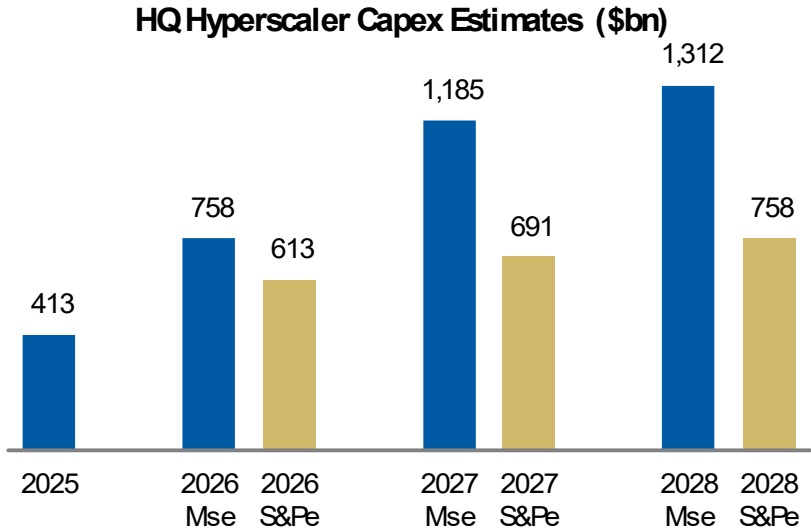
Corporate Supply Rising Sharply; Both Realized and Expectations

IG corporate supply up sharply YTD, on track for a record; rising AI capex estimates bolstering market's future expectations for issuance as well

In duration-equivalent terms, issuance is up more than 40% y/y



MS capex estimates are much higher than rating agency estimates for the next 2 years

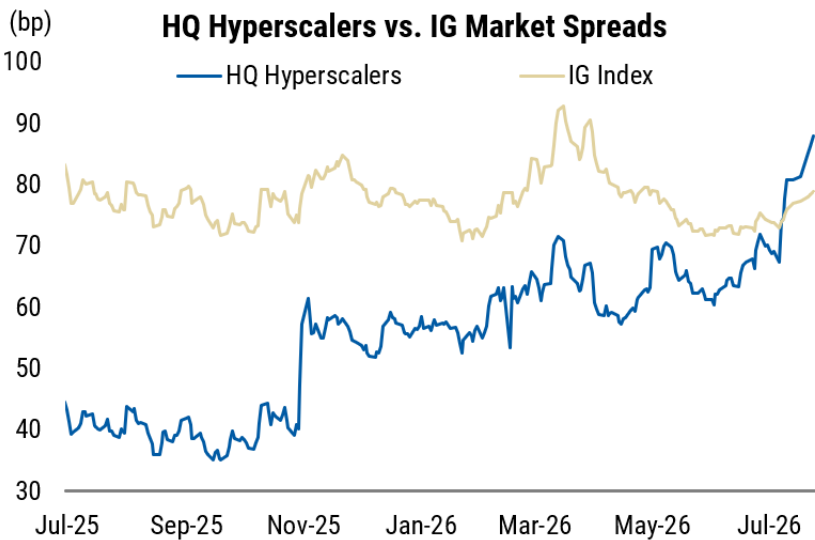


Source: Dealogic, Bloomberg company filings, S&P, Morgan Stanley Research estimates; Note: Issuance converted to duration terms in Mn (Notional * duration/100).

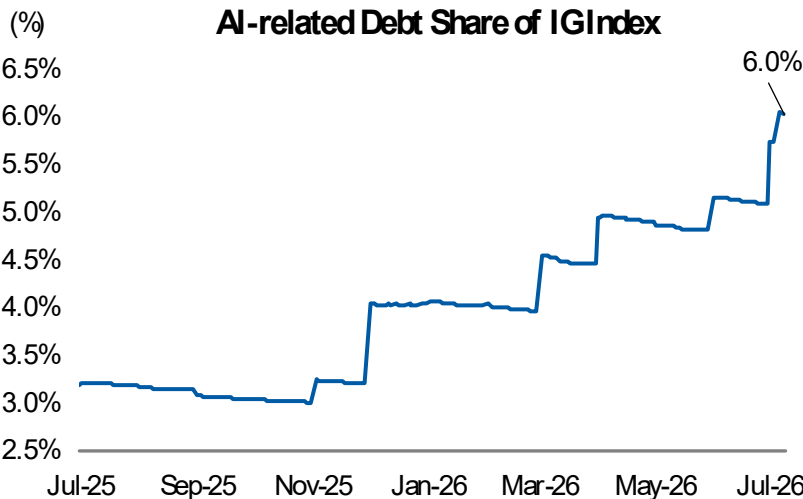
Significant Capacity to Absorb More Issuance: But Spreads Should Be Wider

Hyperscaler credit quality remains strong, suggesting capacity for additional debt issuance. Rather than constraining issuance, the market adjustment is likely to come through wider spreads.

Hyperscaler spreads have widened but remain low in absolute levels; limited spillover to rest of the market



AI exposure in credit markets is rising, but much lower than in equities



Source: Dealogic, Pitchbook, Bloomberg, Morgan Stanley Research; Note: HQ = high quality hyperscalers that include names rated AA/AAA.

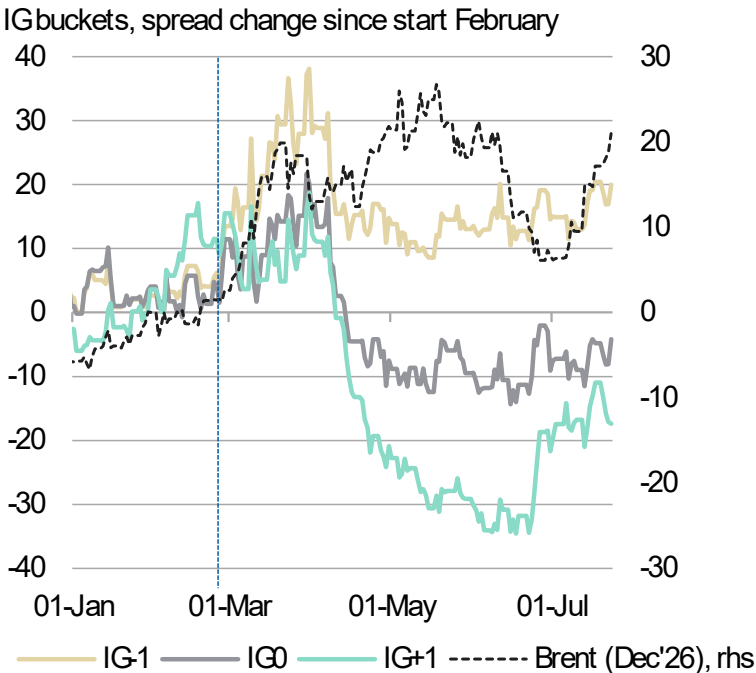
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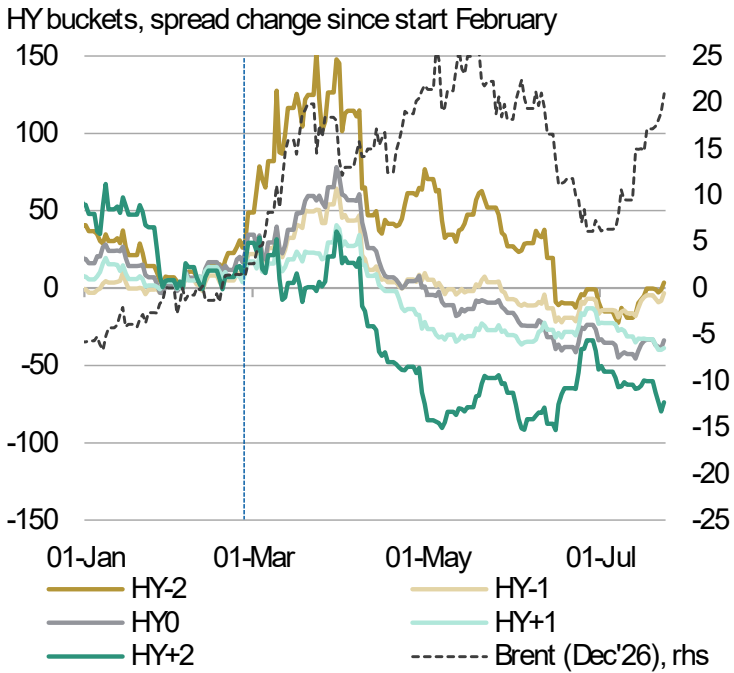
Head of Global Sovereign Credit and LatAm Fixed Income Strategy

1) Little Risk Premia Left Due to the Iran Conflict ...

The slightly vulnerable IG credits (IG -1) are a key exception to all other credits being...



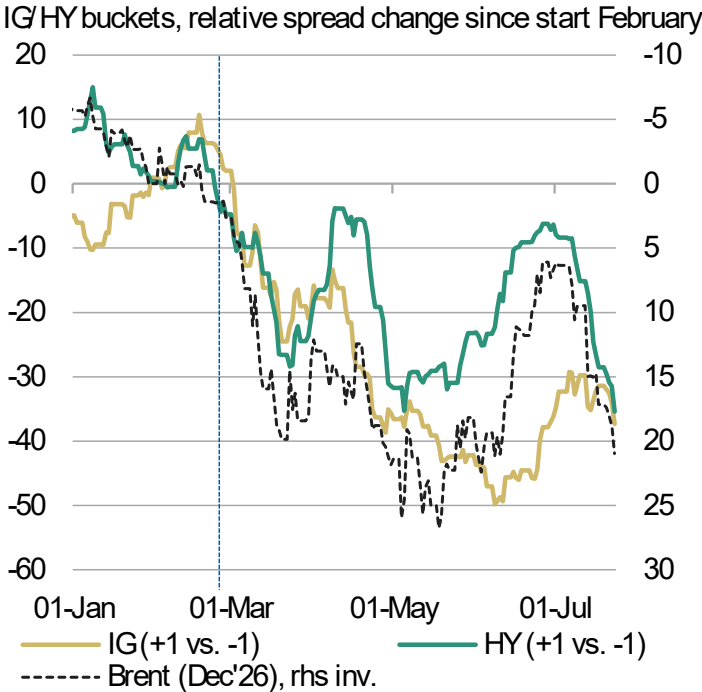
... tighter than pre-conflict levels, including the highly vulnerable HY credit (HY -2)



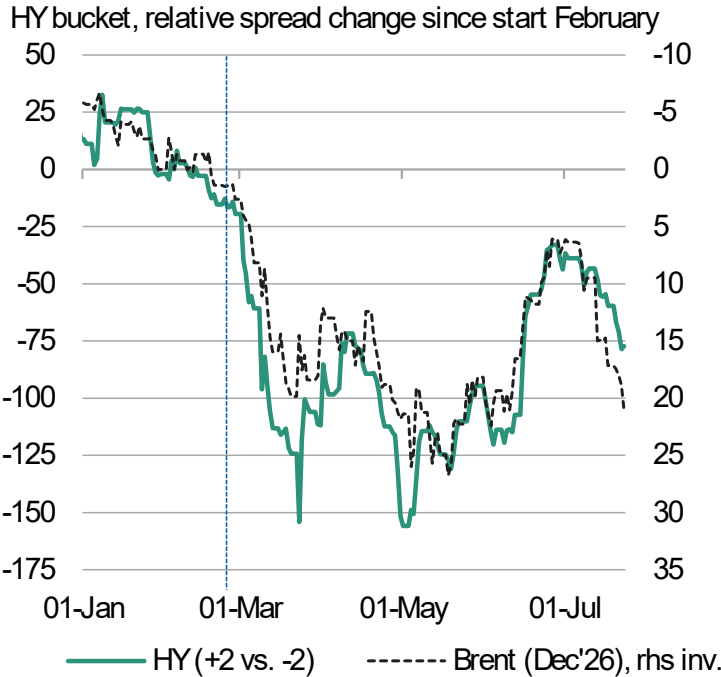
Source: Bloomberg, Morgan Stanley Research; Note: Shows the outright spreads of the five buckets that define the vulnerability to the Iran conflict ranging from -2 (very negative) to +2 (very positive).

1) ...Leaves Us Cautious Risk, In Particular the Most Vulnerable Credits

That said, it's clear that oil is still having an impact on driving relative value across credits...



... which currently leaves risk-reward favouring oil exporters

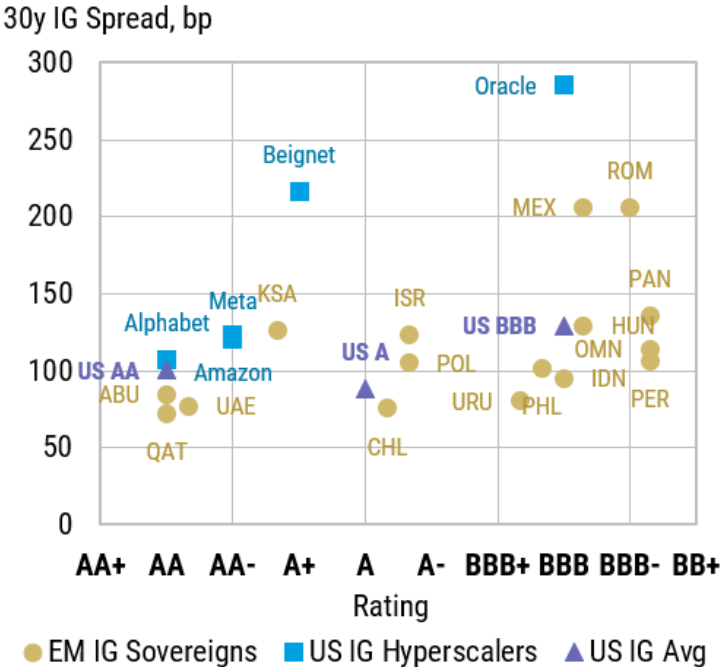
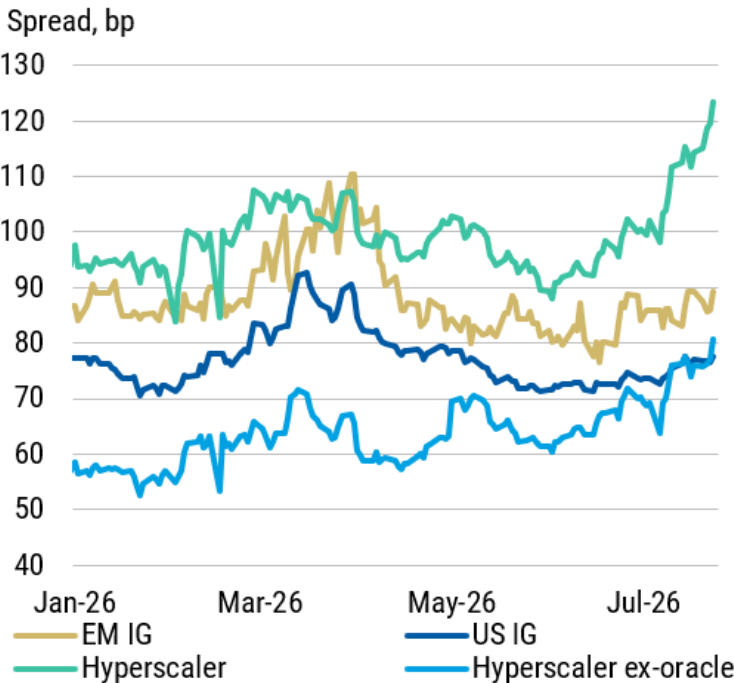


Source: Bloomberg, Morgan Stanley Research; Note: Shows the relative spreads of the five buckets that define the vulnerability to the Iran conflict ranging from -2 (very negative) to +2 (very positive).

2) US Hyperscaler Issuance Not Having An Impact For Now

The spill-over has been minimal from the widening by US hyperscalers...

... yet it does make the long-end bonds in EM IG look rich on a relative basis



3) El Niño Impact Could Be Material Into Late 2027

Lower-quality HY names with negative exposure
should see the greatest sovereign risks

El Niño Sovereign Credit Risk Scores - B and below					
	Country	1) direct impact	2) indirect impact	3) fiscal capacity	Score
-2: High Risks	Ecuador	7	2	4	5
	Mozambique	8	7	6	7
	Zambia	7	6	5	6
	AVERAGE:	7	5	5	5.9
-1: Moderate Risks	Angola	8	7	4	6
	Egypt	0	6	6	3
	El Salvador	4	6	4	5
	Ivory Coast	5	4	5	5
	Kenya	2	5	5	4
	Nigeria	5	6	5	5
	Senegal	4	6	7	5
	Venezuela				
	AVERAGE:	4	6	5	4.8
0: No Risks	Ghana	5	5	4	5
	Ukraine	1	4	8	4
	AVERAGE:	3	4	6	4.5
1: Potential Upside	Argentina	0	4	4	2
AVERAGE:		0	4	4	2.3

Higher-quality sovereigns with stronger buffers should
be better protected

El Niño Sovereign Credit Risk Scores - IG and BB					
	Country	1) direct impact	2) indirect impact	3) fiscal capacity	Score
-2: High Risks	Colombia	7	4	6	6
	Costa Rica	7	3	4	5
	Peru	6	4	4	5
	AVERAGE:	6	4	5	5.1
-1: Moderate Risks	Dominican Rep.	3	5	5	4
	Guatemala	6	4	4	5
	Morocco	3	6	4	4
	Panama	5	5	5	5
	Turkey	1	5	5	3
	AVERAGE:	4	5	5	4.2
0: No Risks	Brazil	5	4	6	5
	South Africa	3	4	5	4
	AVERAGE:	4	4	5	4.6
1: Potential Upside	Chile	1	4	4	3
	Mexico	0	4	5	3
	Uruguay	0	4	5	3
	AVERAGE:	0	4	5	2.7

Source: Morgan Stanley Research; Note: Includes EM credits in our sovereign coverage universe. We do not score Venezuela due to a lack of macro data.

Key EM Sovereign Credit Takeaways

- 1) The Iran conflict escalating would likely see the overall index spreads widening given the limited risk premium currently priced in.**
 - Stay cautious overall spreads, being neutral HY versus IG.
 - CEEMEA HY oil importers and the CAC region most at risk.
 - Ecuador, Venezuela and Nigeria offer more favorable risk-reward.
- 2) US hyperscaler issuance is starting to impact US spreads, yet we think the impact on EM remains contained.**
 - Avoid the long-end of the tight trading EM curves, favouring 10y instead.
- 3) El Niño is a clear risk in 2H26 yet is hard to trade at an index level.**
 - It reinforces our dislike stances on Peru and Costa Rica.
 - It's a potential headwind for Colombia and a key risk to our like stance on Ecuador.
 - It reinforces our like stance on Argentina.
 - Buy Ghana 2035 versus Zambia 2033.

Morgan Stanley

Jonathan Garner

Chief Asia and Emerging Market Equity Strategist

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Serena Tang

Global Head of Cross-Asset Strategy

Key Takeaways

- **Energy:** In the week to July 19, Middle East crude exports fell to 8.4 mb/d (from 13.6 mb/d the prior week) and outbound tanker traffic has dropped to ~2 transits/day versus 25–30/day pre-conflict. Oil is piling up again behind the Strait: oil-on-water in the MEG has edged up to ~112 million barrels, up from 104 million barrels a week earlier.
- **US Equity:** The broadening rally is evolving into a quality rotation as the cycle turns mid-cycle (like 2021); a capex/sales reversal favors quality and argues against a return of semis leadership. Prefer AI adopters over hyperscalers and semis; near-term risk is oil and rates, with S&P 500 support at 7000.
- **US Rates:** The market-implied Fed path is too hawkish — pricing tightening while our economists see easing, and out of line with the June 2026 dot-plot after softer payrolls and CPI.
- **US Credit:** IG supply is on track for a record (issuance +40% y/y in duration terms) as AI capex lifts expectations. Hyperscaler credit quality is strong enough to absorb more debt, so the adjustment comes via wider spreads rather than less issuance — spillover has been limited so far.
- **EM Credit:** Stay cautious — the Iran conflict has left little risk premium priced in (neutral HY vs. IG; CEEMEA HY oil importers and the CAC region most at risk, Ecuador/Venezuela/Nigeria better risk-reward). Hyperscaler spillover to EM stays contained; avoid the long end, favor 10y. El Niño is a 2H26 risk, reinforcing dislikes on Peru and Costa Rica, a risk to Ecuador, and a like on Argentina.
- **EM equities:** Environment remains exceptionally uncertain due to combined effect of AI capex and disruption, energy price volatility and a more uncertain path for the Fed. We continue to prefer Japan within the Asia/EM space.

Valuation Methodology and Risks

Stance/Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Sell Nigeria 5y CDS	20-Jul-26	257.0	220.0	277.0	We recommend selling Nigeria 5y CDS protection at 257bp, targeting 220bp. Cash bonds have already rallied to near one-year highs, but CDS has lagged, leaving the basis unusually wide. Continued reserve accumulation and higher oil prices should support further improvement in Nigeria's external position, driving CDS tighter.	Reintroduction of fuel subsidies and FX related capital controls.
Buy GHANA 2035 versus ZAMBIA 2033	20-Jul-26	29.0	-10.0	45.0	We recommend buying Ghana 2035s versus Zambia 2033s, targeting -10bp from 29bp with a 45bp stop. Ghana benefits from stronger fiscal and reserve trends, while Zambia faces election-related spending, El Niño risks, hydropower constraints and weaker external buffers.	Lower gold prices and a significantly harsher hit to the cocoa sector.

Stance/Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Dislike Costa Rica Hard Currency Bonds	15-May-26	NA	NA	NA	Costa Rica has been one of the strongest-performing LatAm BB importers, helped by stronger buffers and optimism around the new administration, but we think the market is now underpricing fiscal risks. The latest fiscal framework points to a materially weaker debt trajectory. Spreads are pricing 1.5 upgrades and leave little room for disappointment.	A new fiscal framework created by the administration with a credible fiscal consolidation path.
Like Nigeria Hard Currency Bonds	20-Jan-26	NA	NA	NA	Nigeria has cheapened modestly relative to peers since the start of the year. We think the current account is in a much stronger position to absorb any downside shock, while fiscal metrics remain manageable for now despite emerging risks.	A much sharper move lower in oil prices.
Like Argentina Hard Currency Bonds	16-Nov-25	NA	NA	NA	Argentina's bull case is currently playing out, where strong governability comes together with US support to open up the path towards market access, including potential buybacks. Valuations wise there is also still further upside versus other large African single B issuers.	A wider-than-anticipated current account deficit in addition to lack of demand of local currency due to perceived FX overvaluation.
Like Ecuador Hard Currency Bonds	16-Nov-25	NA	NA	NA	Ecuador remains an improving credit story that now also sees reforms as possible due to the stronger governability of the president. A significant current account surplus also provides a supportive FX flows backdrop. Valuation wise there is also still further upside versus other large African single B issuers.	Fall in oil price that impacts fiscals negatively.
Dislike Peru Hard Currency Bonds	31-May-24	NA	NA	NA	We see risks of a eurobond issuance and further downgrades in the second half of this year, which we do not see as priced in. Wider deficit expectations, growth underperforming and risks associated with Petroperú raise financing needs.	Announcement of no hard currency issuance this year.

Trade History

Sell Nigeria 5y CDS										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
NIGERIA CDS USD SR 5Y D14	NIGERIA CDS USD SR 5Y D14	5Y	Sell Nigeria 5y CDS	20-Jul-2026	257			220	277	10
Buy GHANA 2035 versus ZAMBIN 2033										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
GHANA 5.000 20350703 Note Fixed	US374422AP83	03-Jul-2035	Buy GHANA 2035 versus ZAMBIN 2033	20-Jul-2026	29			-10	45	10x12
ZAMBIN 5.750 20330630 Note Variable/step	US988895AQ12	30-Jun-2033	Buy GHANA 2035 versus ZAMBIN 2033	20-Jul-2026	29			-10	45	10x12

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Disclosure Section (Cont.)

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Equal-weight (E or Equal) - The stock's total return is expected to be in line with the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U or Under) - The stock's total return is expected to be below the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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